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Japan Rates Strategy | Japan

How much can 10y JGB rally?

The risk that the BoJ is falling behind the curve has eased, even though Middle East uncertainty remains high. With the 10-year JGB sector still carrying an estimated 30-40bp inflation risk premium, we continue to see attractive risk-reward in being long the belly as the market shifts from inflation overshoot concerns toward growth downside risks. We also discuss lifers' disclosure at end-Y2025.

Key Takeaways

- The 10-year JGB sector has started to stabilize as breakevens have stopped making new highs and inflation overshoot concerns have eased.
- BoJ communication remains hawkish, but the market already prices nearly three hikes over the next 12 months, leaving limited room for further front-end repricing.
- If prolonged Middle East tensions weaken growth through supply-chain disruption and tighter financial conditions, the belly's inflation risk premium should compress.
- Large lifers decreased their 10y+ JGB holdings in FY3/26 amid switching operations from low coupon to high coupon bonds. We see limited net duration demand and no clear repatriation sign.
- Swap and swaption notional declined as ESR-driven ALM adjustments matured; payer hedges may be rebuilt selectively to manage lapse risk, not to add broad duration.

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Interest Rate Strategy

Japan | How much can 10y JGB rally?

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The risk of BoJ falling behind the curve somewhat eased.

The Middle East situation remains highly uncertain, and there is still limited visibility on any agreement toward a ceasefire. That said, concerns about an inflation overshoot have started to ease somewhat.

On Polymarket, the view that the Strait of Hormuz will return to normal soon has again receded recently. Even so, breakevens have not reached new highs (see [Exhibit 1](#)).

In the JPY rates market, the 10-year sector finally appears to be finding firmer footing. This likely reflects a declining inflation risk premium, as concerns about an inflation overshoot have eased somewhat.

The 10-year JGB auction on June 2nd had a large amount of unidentified demand ([Nikkei news paper](#), 4th-June, only Japanese article is available).

This effectively confirmed strong demand from investors that appear to have received direct allotments.

On the other hand, short-term rates expectations started to reprice higher (see [Exhibit 2](#)). [At his speech](#) to the Kisaragi-kai on June 3rd, BoJ Governor Kazuo Ueda emphasized the message that higher crude oil prices would weigh on growth, but that, under current conditions, **he was more alert to upside risks to prices.**

Exhibit 1: Polymarket: Strait of Hormuz traffic return to normal by end of June/July 2026 versus Japan 10y Breakeven

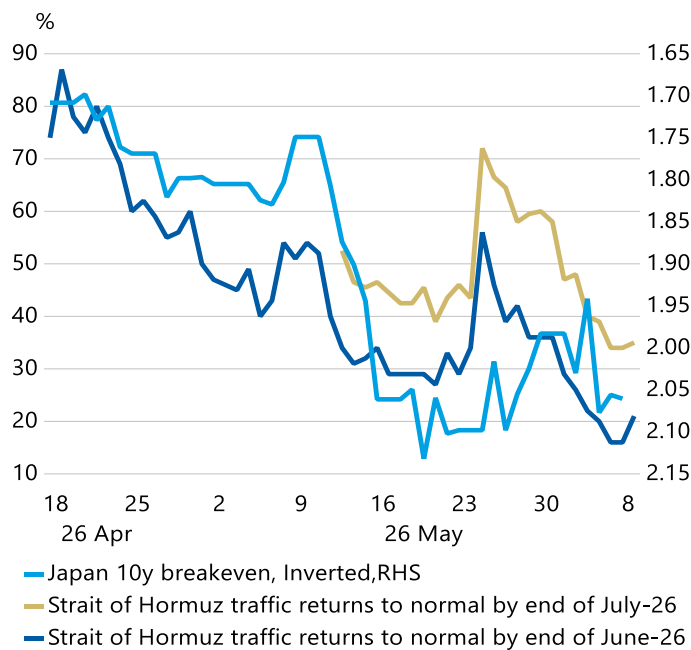
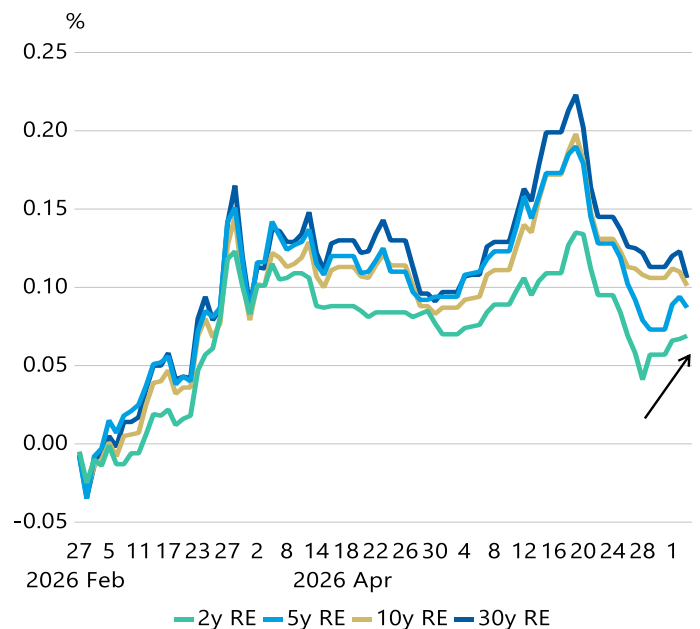


Exhibit 2: The cumulative change in rates expectation across the curve since February 27th



In particular, the Governor suggested that downside risks to the economy were limited, given the resilient corporate earnings and resilient private consumption supported by wage increases following the spring wage negotiations, and government measures to ease the burden of energy costs.

By contrast, the BoJ appears to see greater upside risks to prices. It points to the rising trend in inflation expectations and the recent increase in the Corporate Goods Price Index (CGPI).

Governor Ueda also emphasized that real rates remain negative and that financial conditions are still accommodative. He also noted that the recent rise in long-term yields has come from concerns on the risk of BoJ falling behind the curve.

In that context, he argued that it is important to secure market confidence that inflation will be appropriately controlled through appropriate conduct of monetary policy. Given the clear emphasis on upside price risks, our economists [maintain](#) their call for a June rate hike.

Overall, the JGB curve twist-flattened this week (see [Exhibit 3](#)). This reflected higher policy-rate expectations centered on the front end, driven by the BoJ's hawkish shift, and a decline in the inflation risk premium in the medium- to long-term sector.

Our View Differs

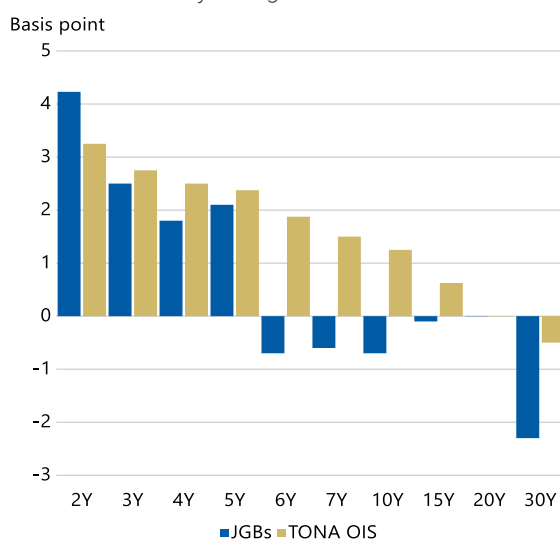
Our economists, however, believe that **second-round inflation effects are unlikely to materialize** (see [Heading Again Toward Above 3%: CPI Outlook Table Updated \(after May Prelim. Tokyo CPI\)](#)). They also expect downside growth risks to emerge toward the second quarter.

At the very least, recent consumption-related data do not show signs of strong inflation momentum. As discussed in "[Downward Repricing of the Inflation Risk Premium](#)", April consumer prices were not strong after excluding special factors.

April was a timing point for price revisions by many companies. Even so, price-hike pressure was not as strong as it was last fiscal year.

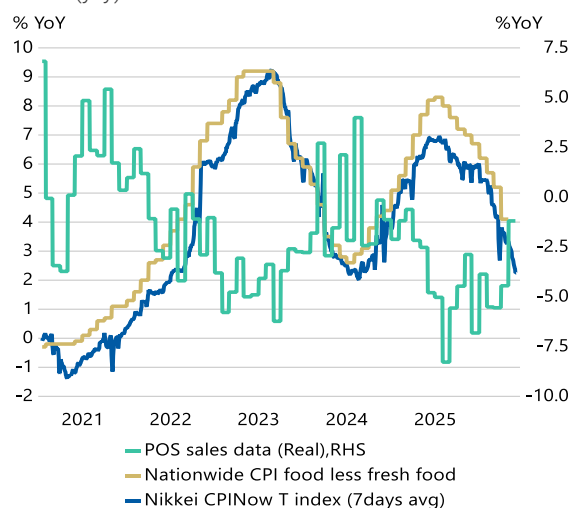
Looking at the May tracking data from Nikkei CPINow, supermarket prices, which are close to consumers' perceived inflation, have continued to decelerate. Point-of-sale (POS) retail sales have also remained negative year-on-year in real terms (see [Exhibit 4](#)).

Exhibit 3: Weekly change in JGB and OIS curve



Source: Morgan Stanley Research, Bloomberg

Exhibit 4: Nikkei CPI T Index (y/y) vs. POS real retail sales (y/y)



Source: Nowcast, Morgan Stanley Research

Surveys such as those by [Teikoku Databank](#) (only Japanese article is available) suggest that companies are gradually becoming more cautious about passing on costs other than raw material costs. This likely reflects concerns about losing customers.

The January-March Financial Statements Statistics of Corporations by Industry also highlighted a pause in capital investment demand (see [Exhibit 5](#)). Capital expenditure excluding software investment, which appears to be related to artificial intelligence (AI), slowed sharply to -3.5% quarter-on-quarter.

This came as uncertainty around the Middle East began to emerge. Following these results, our economists revised down their forecast for real gross domestic product (GDP) in the January-March quarter (see [1Q GDP to Be Revised Down, Led by Capex: Jan-Mar Corporate Statistics](#)).

For April-June, our economists expect that nominal GDP could also show signs of stalling outside AI-related special demand, if the turmoil in the Middle East persists. A deterioration in the terms of trade would be one channel.

The BoJ is concerned about future upside risks to prices, including those implied by the rise in the CGPI. Yet actual data also show that downside growth risks are beginning to emerge, even if some of that weakness has been partly masked by capex investment demand.

If Middle East tensions persist and supply-chain disruptions gradually become more visible, the market should begin to focus more on the risk of slowing growth. In that case, the inflation risk premium already priced sufficiently into the belly of the curve should decline.

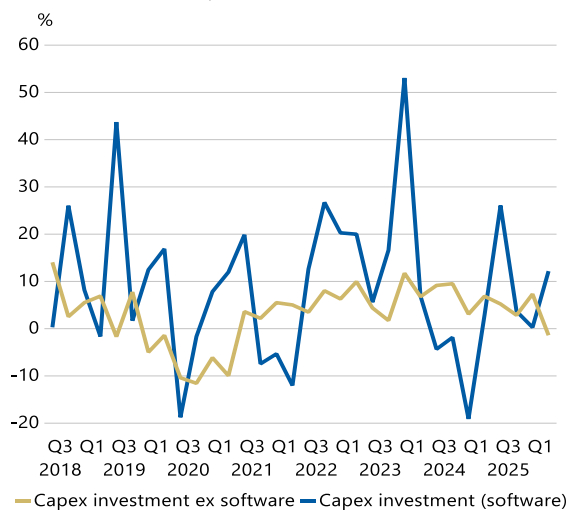
How Far Can 10-Year Yields Rally?

In "[Detail about underlying our updated JGB yield forecasts](#)", we introduced a fair-value model that explains Overnight Index Swap (OIS) rates using near-term BoJ rate-hike pricing and the 10-year US Treasury yield.

As discussed in that report, some support has started to appear for 10-year JGB yields. Even so, the gap from fair value remains large (see [Exhibit 6](#)).

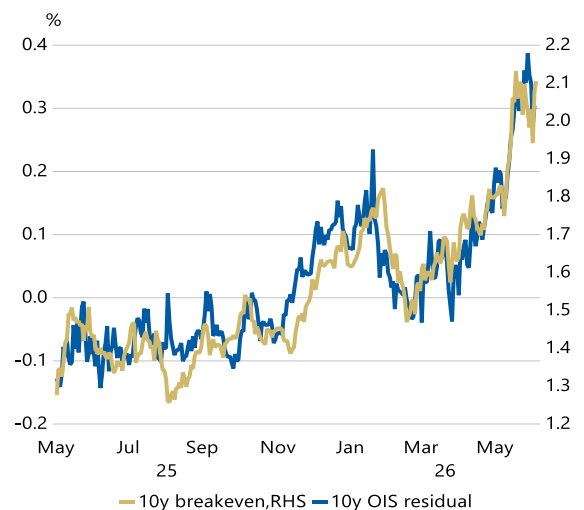
This gap can largely be explained by elevated inflation expectations. In other words, the belly of the curve can still be interpreted as carrying an inflation risk premium of around 30-40 basis points (bp).

Exhibit 5: Corporate capex investment (software versus ex software)



Source: Japan MoF, Morgan Stanley Research

Exhibit 6: 10y OIS residual versus 10y JGBi breakeven



Source: Morgan Stanley Research, Bloomberg

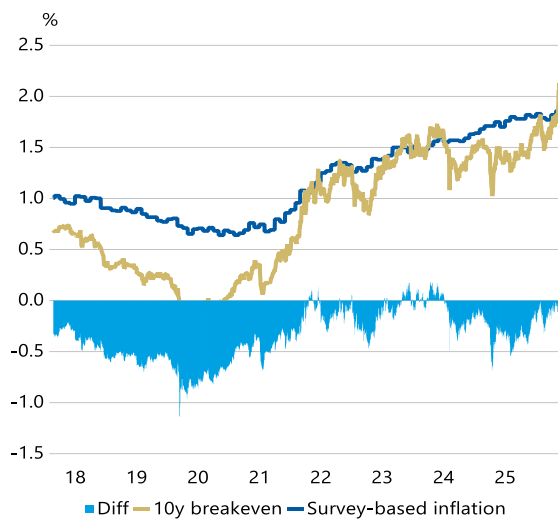
The same inflation risk premium can be seen from another angle. Comparing market-based inflation expectations, as measured by breakevens, with survey-based inflation expectations, survey-based expectations remain broadly flat below 2% (see [Exhibit 7](#)).

Breakevens, by contrast, are around 30bp higher than that level. On this basis, the inflation risk premium priced into the 10-year sector is estimated at around 30-40bp.

As discussed above, if the market starts to focus more on growth concerns caused by a prolonged Middle East shock than on inflation concerns, yields should have room to decline by another 30bp through the disappearance of that risk premium.

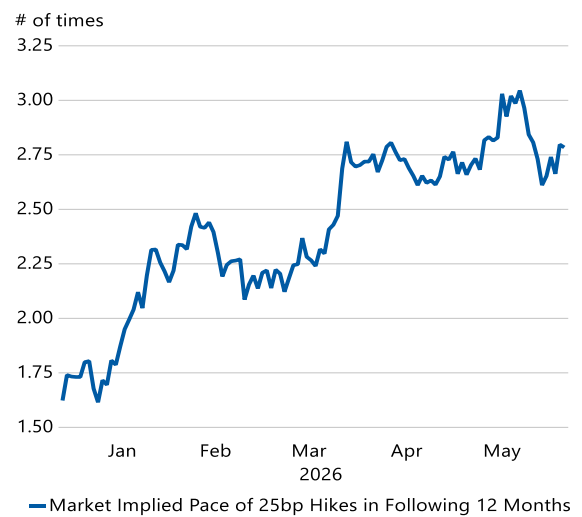
We also need to consider changes in the market's policy-rate expectations. One explanatory variable in the OIS fair-value model is the number of BoJ rate hikes priced over the next 12 months (see [Exhibit 8](#)).

Exhibit 7: Quick 10y inflation average forecast versus 10y JGBi breakeven



Source: QUICK, Morgan Stanley Research

Exhibit 8: Market Implied pace of 25bp hike in the following 12 months



Source: Morgan Stanley Research, Bloomberg

This is currently just under three hikes. According to [media reports](#), the BoJ is considering a rate hike at the June meeting and also sees the possibility of additional rate hikes later this year if needed.

The market has already priced in such a possibility almost fully (see [Exhibit 9](#)). In addition, survey-based expectations in the QUICK monthly bond survey conducted at the end of May still show that the dominant view is for a terminal rate of around 1.5%.

At this point, there has still been no clear acceleration in inflation caused by the Middle East shock, excluding the energy component. Under these conditions, it seems difficult for the market to price in more than three rate hikes (including June hike) over the next year.

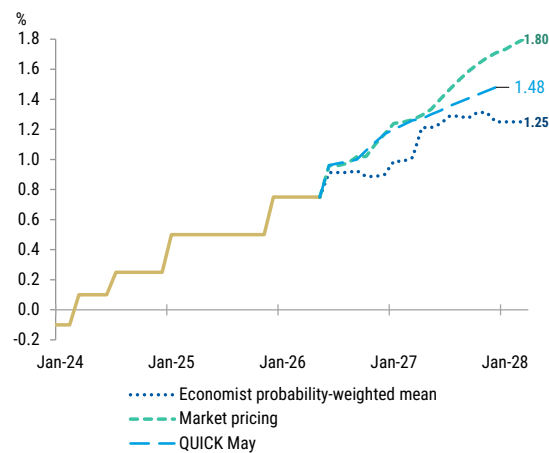
If the rise in policy-rate expectations is offset against the decline in the inflation risk premium, **we think the net rally potential is around 20-30bp (see [Exhibit 10](#)).**

Both the BoJ and the market are currently concerned that renewed Middle East tensions will ultimately create more upside risk to prices than downside risk to growth.

As discussed above, however, if supply-chain stagnation and tighter financial conditions lead investors to focus more on the growth downside from a prolonged Middle East shock, the near-term path of rate-hike pricing itself could also be revised lower.

Given that the market has already priced in a large inflation risk premium, we continue to see attractive risk-reward in being long the belly of the curve.

Exhibit 9: BoJ Market pricing versus survey based inflation forecast



Source: QUICK, Morgan Stanley Research, Bloomberg

Exhibit 10: 10y JGB fair value by BoJ market pricing and 10y UST yield (Note: 10y JGB yield at 2.64% on compound yield basis as of 6th-June)

Implied pace of hike in the following 12 months (# of 25bp hike)					
10y	1	1.5	2	2.5	3
3	1.65	1.80	1.96	2.11	2.27
3.25	1.68	1.83	1.99	2.14	2.30
3.5	1.70	1.86	2.01	2.17	2.32
3.75	1.73	1.89	2.04	2.20	2.35
4	1.76	1.91	2.07	2.22	2.38
4.25	1.78	1.94	2.10	2.25	2.41
4.5	1.81	1.97	2.12	2.28	2.43
4.75	1.84	1.99	2.15	2.30	2.46
5	1.87	2.02	2.18	2.33	2.49

Source: Morgan Stanley Research

Trade Idea: Maintain 5y JGB outright
Trade Idea: Maintain Short 30y JGB ASW
Trade Idea: Maintain receive July MPM OIS

Japanese Lifers Investment Activity in FY3/26

In the March 2026 period, major lifers continued to reduce and rotate out of low-coupon super-long JGBs. As a result, JGB holdings in the general account and the average duration measured on a remaining-maturity basis declined.

ALM duration adjustments aimed at ESR compliance have progressed considerably among the major lifers. Given the shortening of liability duration and mass-lapse risk, lifers' role as structural buyers of super-long JGBs has weakened compared with the past.

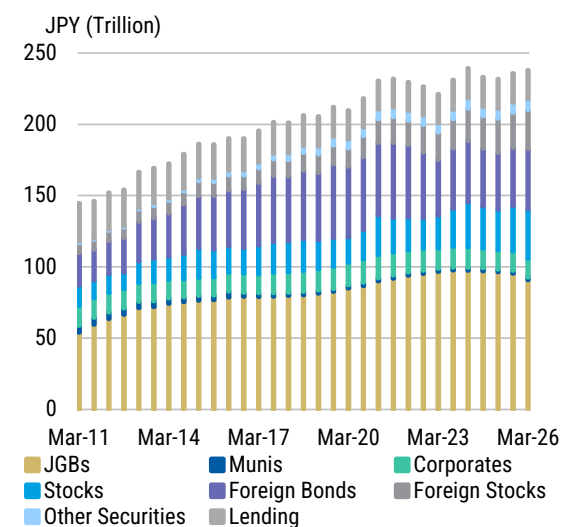
On derivatives, receive-side/receiver hedges appear to be nearing completion, while we believe there remains room to rebuild pay-side/payer hedges as protection against dynamic lapse risk and mass-lapse risk associated with rising interest rates.

Foreign bond balances increased modestly, but this should be viewed with some discount because FX effects are included. There are few signs of large-scale repatriation into JGBs, and the importance of indirect overseas asset exposure through overseas M&A, alternative investments, and offshore reinsurance is increasing.

JGB demand was in line with our view

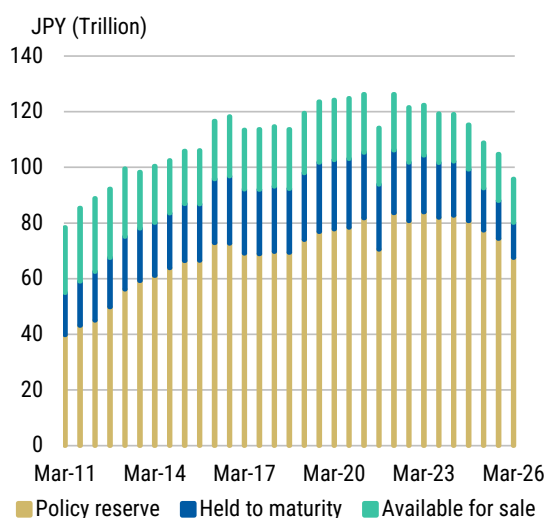
In FY3/26 results, Japanese lifers' general-account JGB holdings stood at JPY 90.8tn, **down by around JPY 4.6tn from the September 2025 period**. Looking at holdings by remaining maturity, JGB holdings with **maturities of 10y+ declined by a similar amount**. The decline in average duration also widened, with average duration falling to 12.1 years as of March 2026.

Exhibit 11: Major eleven Japanese life insurance companies: Asset class outstanding



Source: Lifer financial statements, Morgan Stanley Research

Exhibit 12: Major eleven Japanese life insurance companies: Bond holdings by investment purpose classification



Source: Lifer financial statements, Morgan Stanley Research

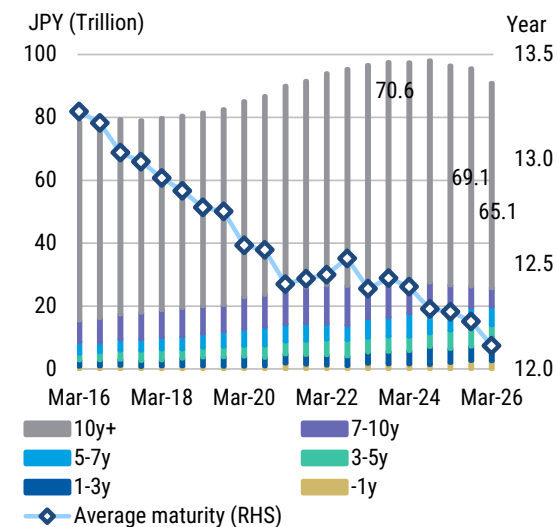
The reduction in holdings 10y+ was concentrated among the major lifers. As noted in ["What Major Changes Involving Japan's Lifers and Households Mean For Fixed Income Markets"](#), the major lifers have been rotating from low-coupon bonds into high-coupon

bonds, while their relatively **abundant unrealized gains on equities give them capacity to offset realized losses from bond sales** undertaken to avoid impairment losses.

Meanwhile, some mid-sized lifers recorded modest increases in JGB holdings, but the impact on the overall total was limited because the reduction by the major insurers was large. Some mid-sized lifers with **limited capacity to realize gains find it difficult to carry out large-scale sales of low-coupon bonds and loss realization** in the same way as the majors (see also our report "[Potential Market Impact of Lifers' Accounting Rule Changes](#)").

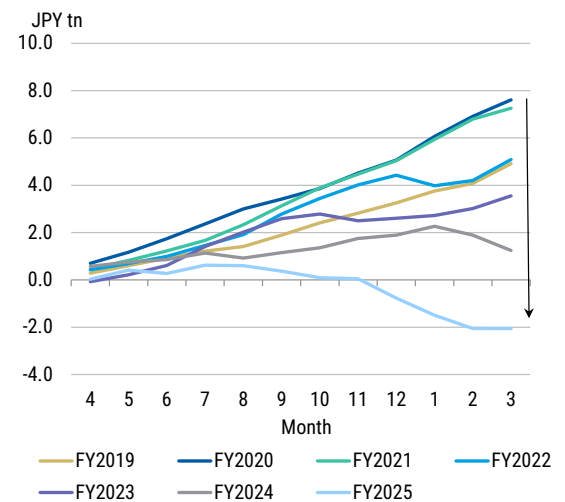
At the same time, in a rising-rate environment they have an **incentive to gradually add higher-yielding bonds**, thereby lowering the portfolio's average acquisition cost and improving its book yield. Lifers that still have ALM duration mismatches are also likely to retain demand for super-long bonds.

Exhibit 13: Major eleven Japanese life insurance companies: JGB outstanding by maturity



Source: Lifer financial statements, Morgan Stanley Research

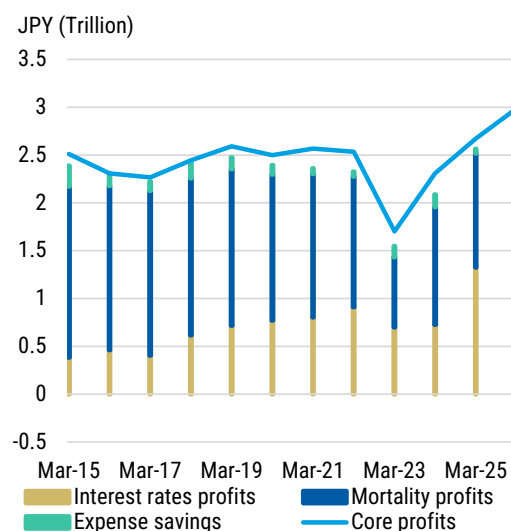
Exhibit 14: Cumulative net purchase flow of super-long JGBs in each fiscal year by Japan lifers and non-life insurances



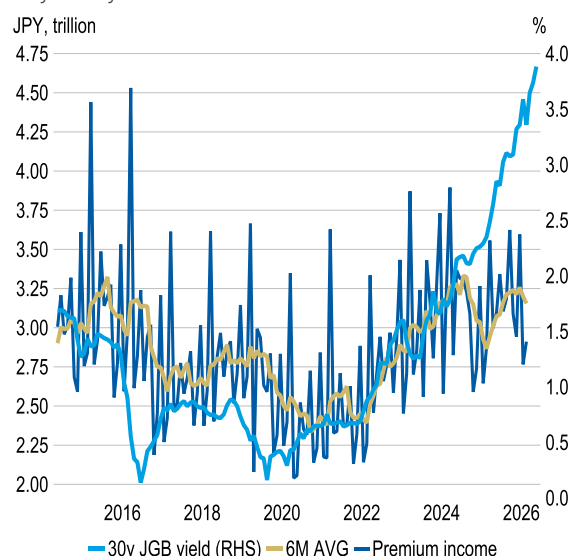
Source: JSDA, Morgan Stanley Research

Core profits at Japanese lifers increased, but the drivers have not changed. In FY3/26, the downward trend in mortality profits continued. Although part of premium income appears to have recovered on the back of higher interest rates, surrender value payments also increased, and net new money remains weak.

The structure in which improving spread gains, supported by better investment yields, underpin overall core profits has become more pronounced.

Exhibit 15: Major eleven Japanese life insurance companies: Core profits and its breakdown

Source: Lifer financial statements, Morgan Stanley Research

Exhibit 16: Japanese lifers' premium income and 30y JGB yield

Source: Bloomberg, Life Insurance Association of Japan, Morgan Stanley Research

As we pointed out in our report "[Is This Déjà Vu?](#)", **we expect Japanese lifers' investment stance toward super-long JGBs to remain unchanged.**

Higher interest rates have improved the investment appeal of super-long JGBs, but at least among the major lifers, operations are centered on rotating from low-coupon bonds into high-coupon bonds rather than simply increasing balances.

Therefore, gross JGB trading should remain large, but **we expect net incremental duration demand and pressure for JGB holdings to increase, remain limited.**

Exhibit 17: Major Japanese life insurers' 2H FY2025 investment plans by each asset class

Company	Domestic Bond	Foreign Bond (FX hedged)	Foreign Bond (Non-FX hedged)	Domestic Stock	Foreign Stock	Alternative
A	Decrease (Not larger than previous FY of -JPY1.9 trillion)	Increase	Flat	Decrease	Increase	
B	Flat	Flat	Decrease	Decrease	Flat	Increase (PE, PD, HF, Real Asset)
C	Increase	Flat	Flat	Increase	Increase (mainly PE)	
D	Flat	Decrease	Decrease	Slightly Decrease	Flat	Increase (Infrastructure, Real Asset)
E	Decrease	Increase	Decrease	Increase		Increase
F	Flat	Flat	Decrease	Flat		Increase (Direct lending, PE, Foreign real estate, Infrastructure)
G	Increase (Super long JGBs: JPY +110 bn, Other JPY bonds: JPY +60bn)	Flat	Decrease	Flat		Increase (Private Credit, PE, Real estate)
H	Increase (JPY +200bn)	Decrease		Decrease		Increase
I	Marginally Increase	Flat		Decrease		Increase
J	Decrease (-JPY 65 bn)	Decrease (-JPY 35 bn)		Decrease (-JPY 5 bn)	Flat	Increase (+JPY 5 bn)

Source: Bloomberg, Reuters, Morgan Stanley Research

If JPY rates were to rise sharply, mass-lapse risk under ESR could worsen modeled solvency, reducing the incentive to add duration or making sales of super-long JGBs more likely (which is [the negative gamma characteristics](#)). Although we do not assume such a sharp rise in rates as our outlook, from a risk-reward perspective as well, lifers' JGB

demand is likely to remain subdued.

From the perspective of structural demand, it is also important that liability duration itself has shortened compared with the past, reflecting the aging of policyholders and changes in the product mix of new policies (see [our report](#) for more detail). During the low-rate period, lifers increased their use of super-long JGBs, receive-fixed swaps, and receiver swaptions for ALM duration matching with ESR compliance in mind.

However, as discussed below, this adjustment has progressed considerably among the major lifers. Accordingly, even if interest-rate levels rise, we do not expect the kind of structural and price-insensitive super-long JGB buying seen in the past to return.

Derivative demand is likely to vary going forward

The simple notional-basis sum of Japanese lifers' receive-fixed swaps and receiver swaptions **decreased from JPY 5.97tn in the September period to JPY 4.62tn as of March 2026.**

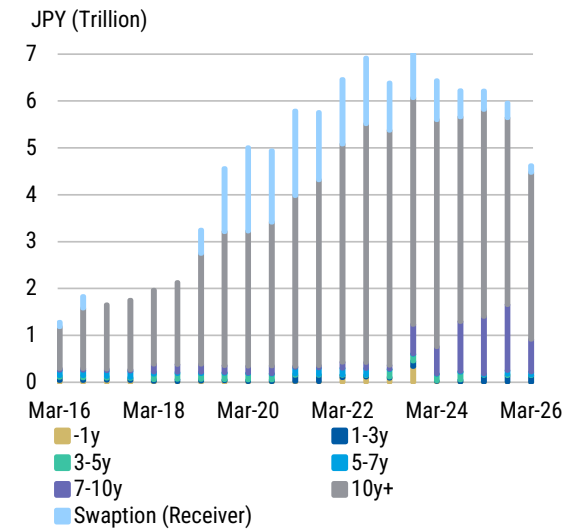
For Japanese lifers, these receive-side positions provided an incentive to use derivatives for ALM duration matching with economic-value-based solvency regulation in mind.

- **Receive-fixed swaps** allow lifers to create duration flexibly without moving the balance sheet as much as they would by buying cash bonds. In addition, when hedge accounting requirements are satisfied, they can also reduce accounting volatility in valuation gains and losses.
- **Receiver swaptions** allow lifers to construct a nonlinear hedge that adds asset-side duration when interest rates decline, while incurring option premiums in normal times.

That said, not all lifers were active users of derivatives; **these positions appear to be concentrated mainly among a few major lifers.**

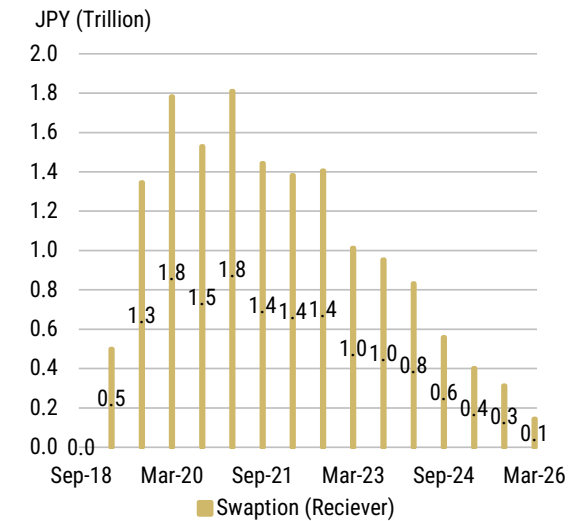
Among the major lifers, duration matching for regulatory purposes has broadly been completed, and in that sense **the need to add receive-fixed swaps or receiver swaptions has likely declined** compared with the past.

Exhibit 18: Major eleven Japanese life insurance companies: SWAPs (receive fix) and Swaptions (Receiver) outstanding



Source: Lifer financial statements, Morgan Stanley Research

Exhibit 19: Major eleven Japanese life insurance companies: Swaptions (Receiver) outstanding



Source: Lifer financial statements, Morgan Stanley Research

In this set of results, the simple notional-basis sum of pay-fixed swaps and payer swaptions **also declined**, from JPY2.63tn to JPY1.54tn. Swaption balances fell by nearly JPY1tn, while the decline in pay-fixed swap balances was modest.

The major lifers have been rotating from low-coupon bonds into high-coupon bonds, and **demand for additional rising-rate hedges against their existing super-long bond portfolios may have declined** relative to the past. Alternatively, higher interest-rate volatility may have raised option premiums, suppressing the rolling or new construction of payer swaptions.

At the same time, major Japanese lifers likely **still need to address mass-lapse risk under ESR**, particularly dynamic lapse risk associated with rising interest rates. Therefore, demand for hedges using payer swaptions and other derivatives has not disappeared completely, and **there may be scope for major lifers to rebuild payer swaption positions going forward**.

Exhibit 20: Major eleven Japanese life insurance companies: SWAPs (pay fix) and Swaptions (Payer) outstanding

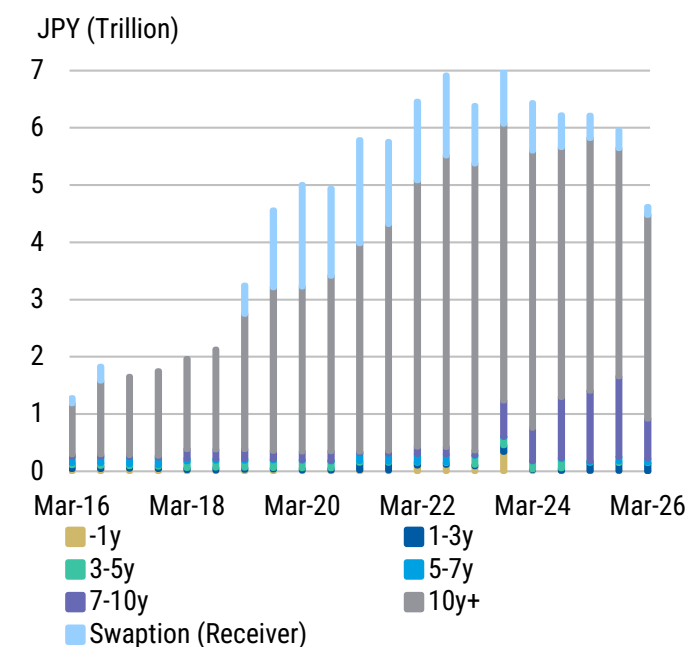
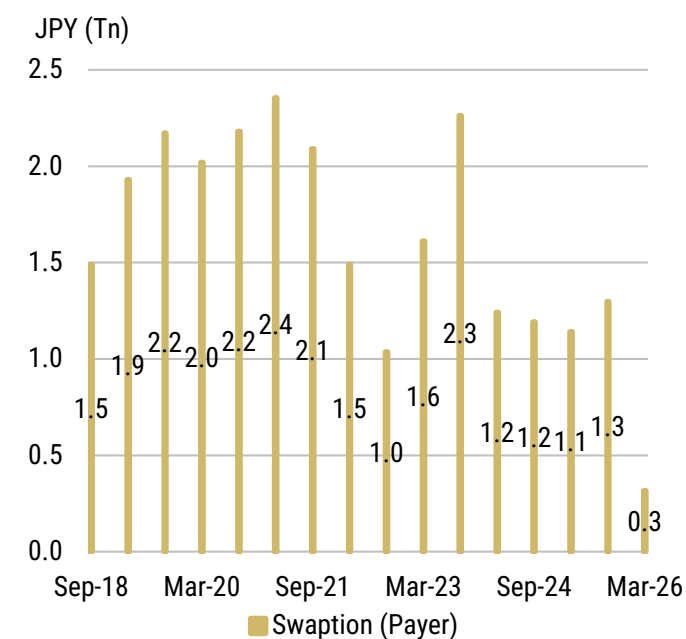


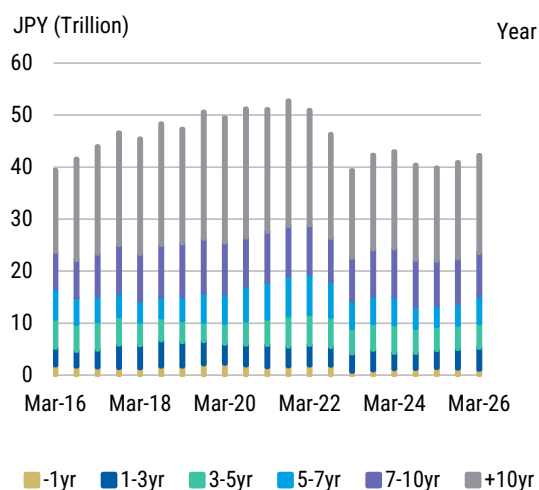
Exhibit 21: Major eleven Japanese life insurance companies: Swaptions (Payer) outstanding



Foreign bonds: balances increased modestly; outlook remains cautious

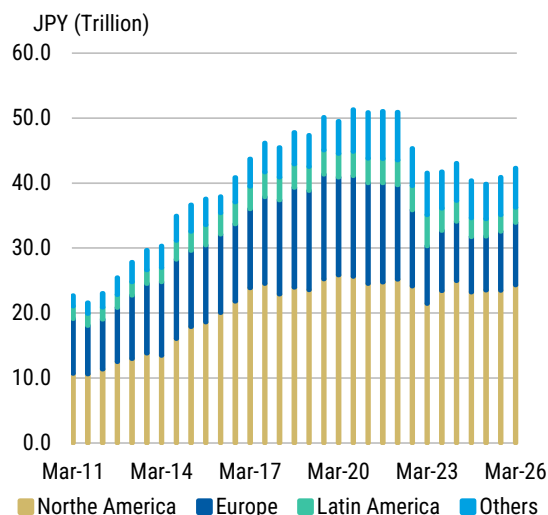
Foreign bond balances within other securities increased modestly compared with the September 2025 period. By region, Latin America declined slightly, while North America and Europe rose modestly. North America still accounts for a high share, at 57% of the total.

Exhibit 22: Major eleven Japanese life insurance companies: Foreign bonds outstanding



Source: Lifer financial statements, Morgan Stanley Research

Exhibit 23: Major eleven Japanese life insurance companies: foreign currency denominated bonds outstanding

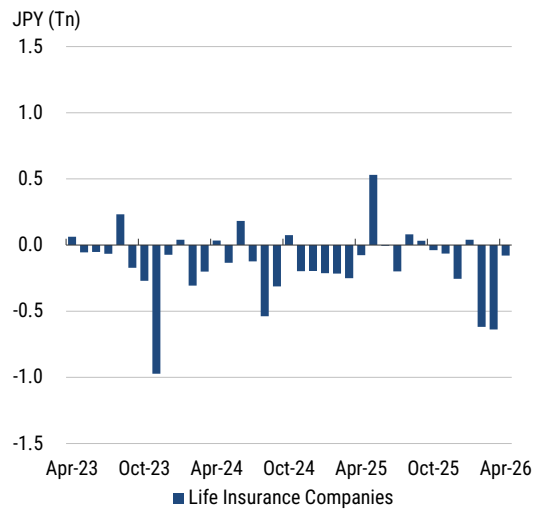


Source: Lifer financial statements, Morgan Stanley Research

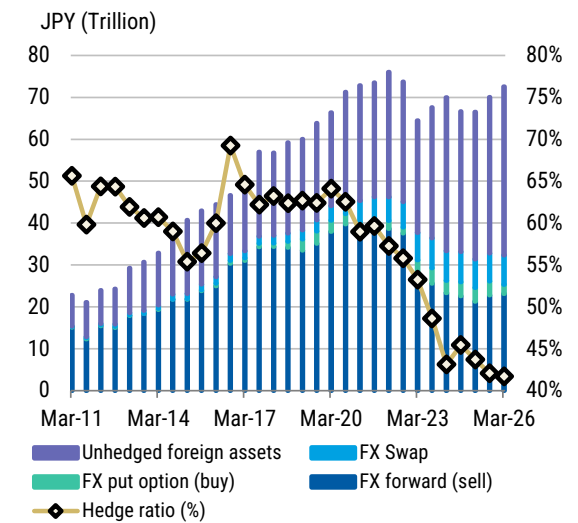
At first glance, this is somewhat surprising given that BoP net flow data have continued to show a selling trend. However, financial-statement balances likely reflect not only simple trading flows **but also the impact of yen depreciation**.

The FX hedge ratio continued to decline. Although hedged asset balances increased for the first time in three half-year periods, the increase in foreign-currency-denominated assets, which appear to be mainly equities, was larger.

Even though FX hedging costs have declined, lifers that are active in foreign bond investment are still taking a tactical stance depending on FX and interest-rate levels. With global interest rates trending upward, the results suggest that this was not a phase in which they actively added exposure.

Exhibit 24: Monthly net purchase of foreign bonds by Japanese lifers

Source: Ministry of Finance, Morgan Stanley Research

Exhibit 25: Major eleven Japanese life insurance companies: Estimated JPY-hedged ratio

Source: Lifer financial statements, Morgan Stanley Research

[Investment plans for FY2026](#) also indicate that lifers remain cautious on both hedged and unhedged foreign bonds. Based on our interest-rate and FX forecasts, even tactical investments are likely to be limited in scale.

We continue not to expect large-scale repatriation into JGBs despite the sharp rise in JGB yields. Since January, the sharp rise in super-long JGB yields has revived the narrative of repatriation by Japanese lifers, but there are currently no signs of this happening.

Japanese lifers' incremental duration demand has declined, and some major lifers may even have an incentive to shorten asset duration in order to correct over-hedging, given shorter liability duration and mass-lapse risk under ESR.

Lifers' funds are more likely to be directed **toward diversification of income sources, such as overseas M&A and alternative investments**, rather than repatriation into super-long JGBs (as we discussed in our report "[What Major Changes Involving Japan's Lifers and Households Mean For Fixed Income Markets](#)").

From the perspective of capital efficiency and ALM, indirect overseas investment channels are also becoming more important, including the transfer of insurance risk through offshore reinsurance and investment by reinsurers in high-yielding overseas assets such as private credit.

Valuation Methodology and Risks

Below, you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Exhibit 26: Trade ideas: Valuation methodology and risks

Interest Rate Strategy				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Receive July BoJ MPM OIS	97.1bp	5/15/2026	While it is not our economists' base case, if the Strait of Hormuz remains effectively closed beyond July, our economists see the risk of the BoJ maintaining the status quo for longer as the signs of supply disruption emerge.	Risk to the trade include consecutive BoJ rate hikes on June and July MPM.
Short 30y JGB ASW	57.3bp	5/15/2026	We expect renewed fiscal concern to make offshore investors reluctant to buy long-end JGBs, thereby leading to the cheapening of ASW.	Risk to the trade include strong demand for long-end JGB ASW to persist on the back of its attractive carry profile.
Buy 5y JGB outright	1.858%	4/10/2026	We think the belly of the curve already prices in enough inflation risk premium. Shifting either "de-escalation" or "Effective closure" scenario should lead to a lower inflation term premium.	The main risk to this trade is that soaring energy prices cause medium- to long-term inflation expectations to strengthen yet further.

Source: Morgan Stanley Research

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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